and usually falls off to zero after about one or two years. Ask this question: What does it cost to redeem this product after one, two, three years and so on over the life of the product?

What is a direct plan?

The expense ratio has embedded in it the sales commission paid to sellers of mutual funds. There are two entities in the market – advisers and distributors. Distributors are supposed to just vend the product, much as a chemist vends medicines but does not prescribe them. For prescription you go to a doctor, who charges a fee.

In the financial sector, advisers are the doctor's equivalent and are supposed to charge you a fee for their expertise. They are supposed to recommend a 'direct' plan that has a lower cost. Direct plans remove the sales commission embedded in the expense ratio and make the product cheaper for you to buy. If you've understood NAVs and expense ratio, you will know why the NAV of a direct plan will become higher than that of a regular plan. If not, read this part one more time. Do some numbers to get the concept right.

SIPs and more

Why is everybody I meet talking about SIPs? What's this cool new thing, and should I be SIP-ing? A SIP is a systematic investment plan. Think of this as a recurring deposit, but instead of putting money in a fixed deposit, you are making periodic investments into a mutual fund.

Using the vehicle of an SIP is good for two big reasons. One, we usually earn a fixed amount each month and have a monthly surplus left over after expenses. An SIP is a good way to soak up the savings each month. Some people make a target for saving in an SIP and then spend the rest. They make SIP investments a target rather than a residue.

An SIP matches the earning rhythm of most people and is very useful in building the habit of regular investment. Two, an SIP allows you to average out your price as you invest over the year, either monthly, or fortnightly, or even